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IDEA

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Korea Macro Strategy, Equity Strategy & Economics | Asia Pacific

Why Is KRW So Weak?

KRW has been one of the weakest AXJ currencies YTD despite strong fundamentals. We see scope for moderate KRW appreciation as corporate FX conversion may increase, while foreign equity outflows continue, albeit at a slower pace. Korea retail is looking overseas but outflows seem manageable in 2H26.

Key Takeaways

- KRW has underperformed in AXJ despite a record current account surplus, strong GDP growth, a surging equity market, and improving terms of trade.
- This has been driven by large equity outflows from foreign investors and exporters' FX conversion possibly lagging the surge in the current account surplus.
- We see equity outflows from foreign investors persisting in 2H26 but at a slower pace. Korean retail investors are looking overseas but outflows seem manageable.
- We stay positive on Korea's fundamentals, expecting growth to outperform the US, the trade surplus to stay robust, and the interest rate differential to narrow.
- KRW may appreciate moderately as a rise in corporate FX conversion is offset by equity outflows. Yields to stay elevated amid BoK rate hikes and strong macro.

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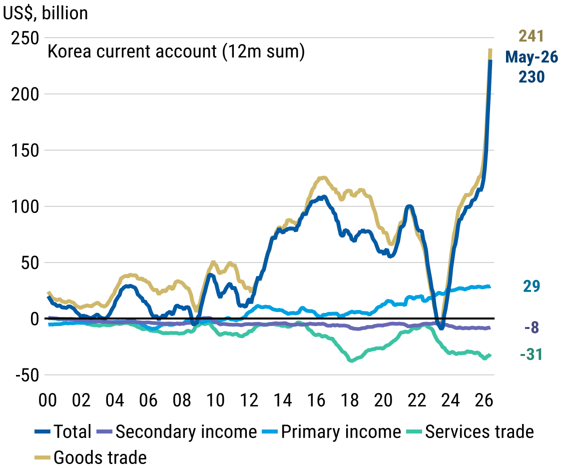
Why has KRW been so weak?

KRW has been one of the weakest currencies in Asia year-to-date despite a surge in the current account surplus (Exhibit 1), a sharp improvement in terms of trade (Exhibit 2), the strongest equity market performance globally, above-potential GDP growth, and carry turning less negative as the BoK moves towards rate hikes.

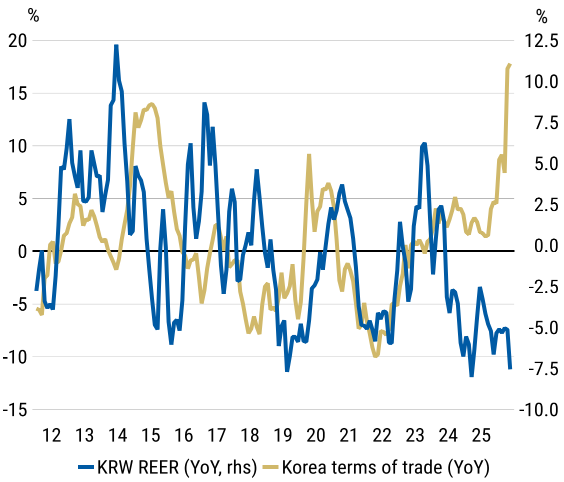
The current level of cheapness in KRW is comparable to INR and IDR (Exhibit 3), even though it does not face the same balance of payments issue (Exhibit 4). In fact, Korea runs a balance of payments surplus of 1.2% of GDP after excluding the impact of changes in central bank reserves.

Exhibit 1: Korea's current account surplus has surged with strong exports



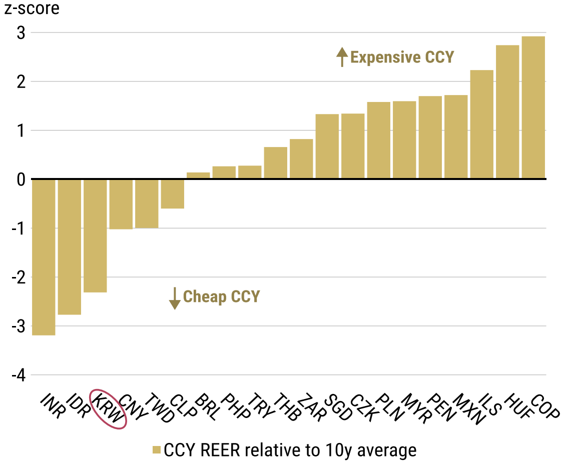
Source: Macrobond, Morgan Stanley Research

Exhibit 2: KRW has weakened despite a surge in its terms of trade



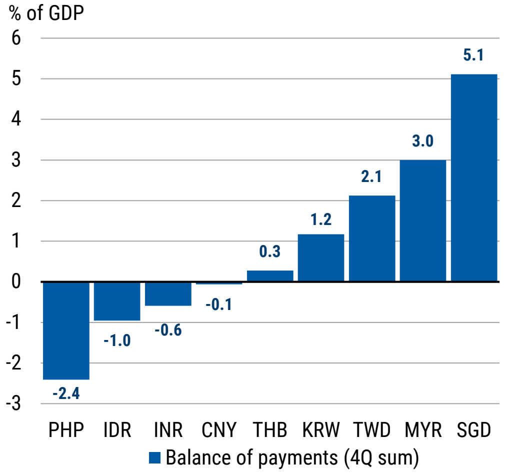
Source: Macrobond, Morgan Stanley Research

Exhibit 3: KRW's cheap valuations are comparable to INR and IDR...



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 4: ... even though it does not face a similar balance of payments issue



Source: Macrobond, Morgan Stanley Research

What explains the KRW weakness then? We think it is a combination of external and local factors. Externally, even as oil prices have eased, USD has appreciated broadly with the hawkish repricing of Fed rate expectations. This weighs on KRW disproportionately more in the region given its high beta (Exhibit 12).

Domestically, the lack of pass-through from the surge in Korea's trade balance and equity market to KRW may be attributed to:

- An increase in FX hedging from foreign equity investors in late 2025/early 2026 when there were inflows;
- An increase in capital outflows, particularly from foreign investors selling Korea equities in recent months;
- Corporates' FX conversion potentially not keeping pace with the surge in the trade surplus.

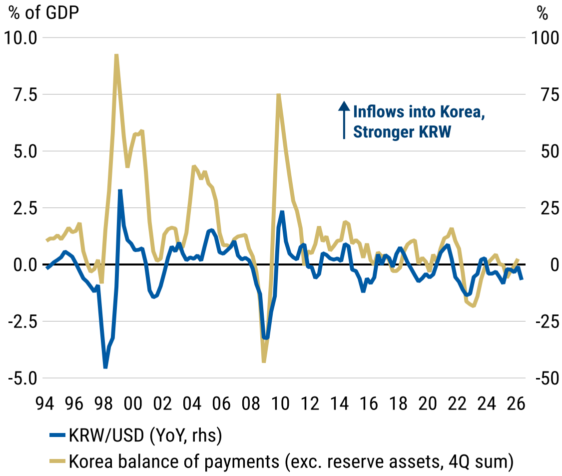
Equity outflows and increased FX hedging

Although Korea runs a substantial current account surplus, its overall balance of payments position is less extreme (Exhibit 5) as the excess savings are recycled abroad via financial outflows, particularly in equities (Exhibit 6).

In late 2025, the equity outflows were driven more by Korea investors – including retail investors, asset managers and the NPS – investing abroad (Exhibit 7). But since the start of 2026, it has been mainly foreign investors' selling of Korea equities driving the outflows from Korea and weighing on the currency (Exhibit 8).

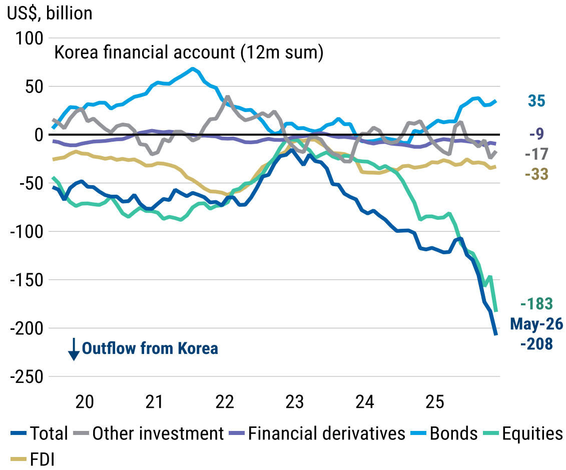
Another phenomenon that has been seen is that when there were inflows into Korea equities from foreign investors in September-October 2025 and December 2025-January 2026, KRW also did not appreciate meaningfully. This could be a sign that foreign equity investors were increasingly buying Korea equities with an FX hedge, weakening the traditional link between equity inflows and KRW strength.

Exhibit 5: USD/KRW has tracked the balance of payments, which has been more balanced



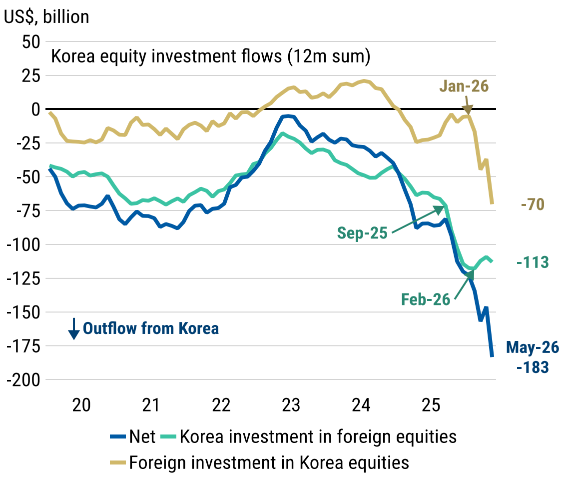
Source: Macrobond, Morgan Stanley Research

Exhibit 6: Equities have been the main source of financial outflows from Korea, while other components have been stable



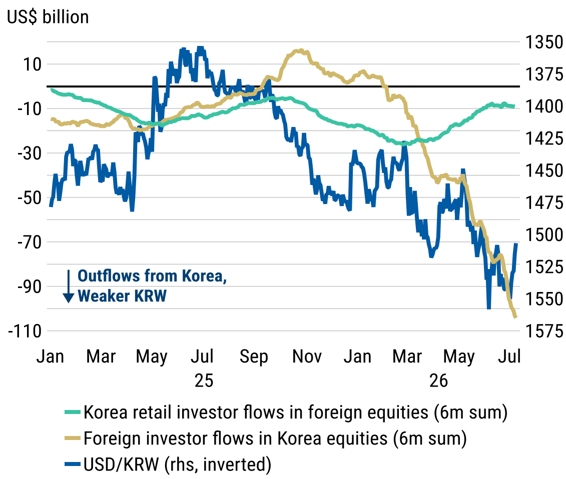
Source: Macrobond, Morgan Stanley Research

Exhibit 7: The equity outflows were driven more by domestic investors last year and more by foreign investors this year



Source: Macrobond, Morgan Stanley Research

Exhibit 8: USD/KRW has tracked the equity outflows from foreign investors in recent months



Source: Macrobond, Morgan Stanley Research

FX conversion from Korea exporters may not be keeping pace

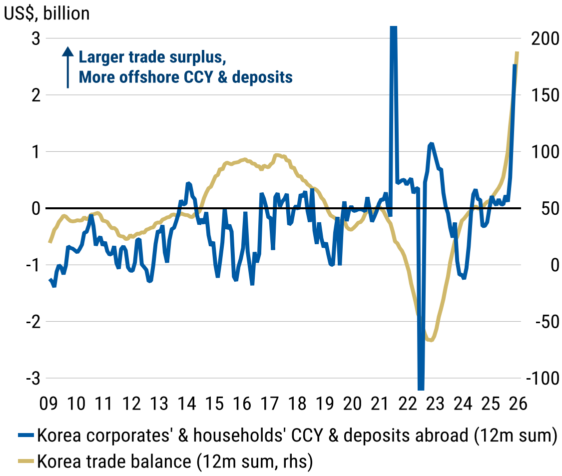
While Korea's trade surplus has surged, exporters may not have increased conversion of their USD export receipts into KRW at the same pace.

Indeed, there has been a meaningful pickup in Korea companies' and households' offshore currency and deposits as the trade surplus surged (Exhibit 9). Korea corporates' onshore FX deposits have also risen by US$14 billion since the trough in Korea's trade balance in March 2025, compared with a US$34 billion increase in total corporate deposits (Exhibit 10).

One reason for this could be that Korea companies have been investing more into the US. The share of Korea's outbound FDI to the US has been rising since mid-2025, from a low of 32% in June 2025 to 35% by end-2025 (Exhibit 10). In 2025, Korea companies invested US

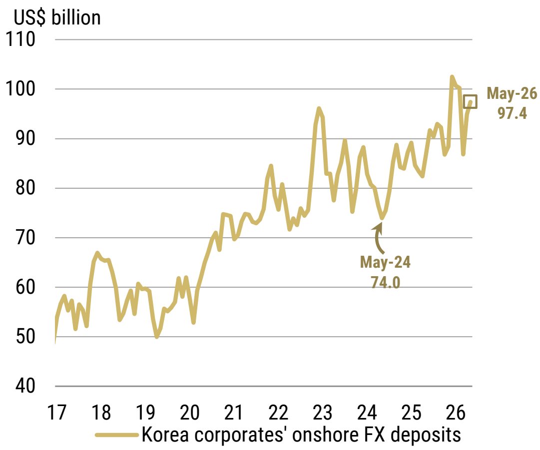
$25 billion into the US.

Exhibit 9: Korea corporates' and households' offshore deposits have increased with the surge in trade surplus



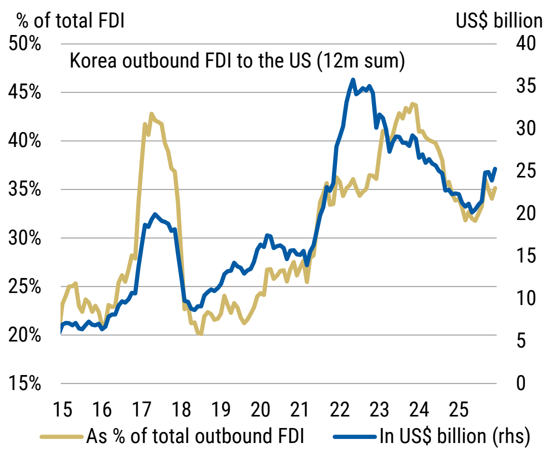
Source: Macrobond, Morgan Stanley Research

Exhibit 10: Korea corporates' FX deposits onshore have also increased



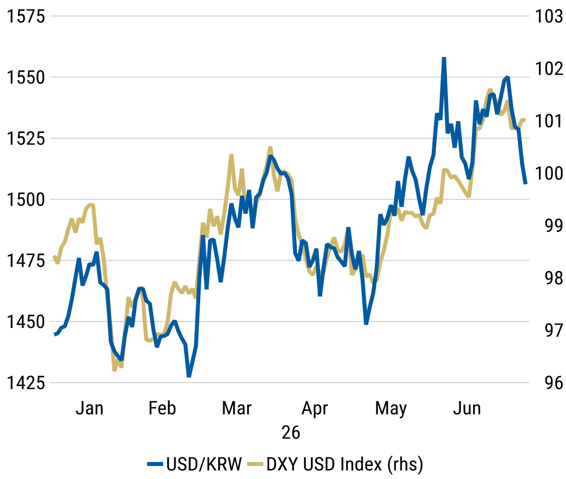
Source: CEIC, Morgan Stanley Research

Exhibit 11: Korea companies have been investing more into the US since mid-2025



Source: CEIC, Morgan Stanley Research

Exhibit 12: USD/KRW has tracked the broader USD higher



Source: Bloomberg, Morgan Stanley Research

Is the KRW-equity positive correlation changing?

If indeed foreign investors have raised the FX hedge ratio on their Korea equity holdings, does that imply a change in KRW's usual positive relationship with equities?

There is reason to argue so:

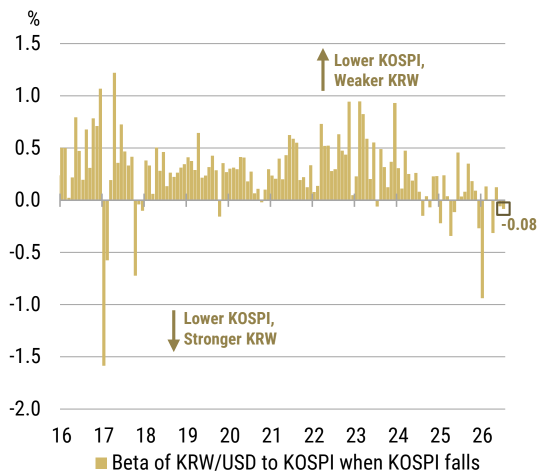
- Foreign investors could reduce their FX hedges (i.e., sell USD and buy KRW) in the event that equity prices fall or they reduce their equity exposure.
- One factor driving the large foreign investor outflow from Korea equities since May has been the rebalancing needs from investors to adhere to limits on their single-stock / sector/ country holdings after the surge in semiconductor stock prices. This implies that Korea equity outperformance could ironically lead to KRW outflows.

Indeed, in recent instances when KOSPI saw a meaningful correction (e.g., July 2 and 7, and June 23 and 26), KRW appreciated against USD.

This is a relatively recent phenomenon though, and it may be too early to conclude that the correlation between KRW and KOSPI has now flipped to negative on a sustained basis.

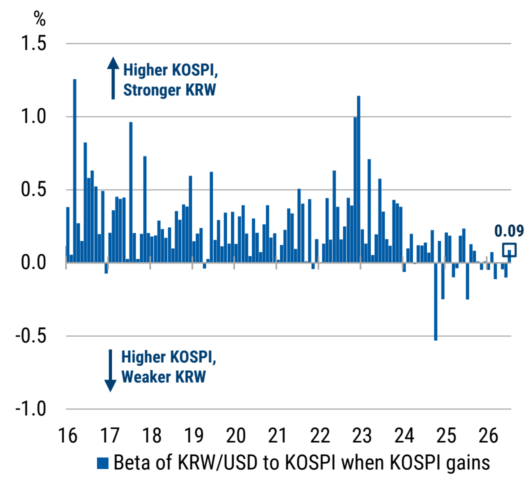
The frequency of a negative beta appearing has clearly increased since late 2024 (Exhibit 13 and Exhibit 14), but it is not high enough to conclude with confidence that the beta has turned decisively negative. Over the past twelve months, the beta has been positive (i.e., KRW/USD has fallen alongside KOSPI) just over half (57%) of the time.

Exhibit 13: The beta of KRW to KOSPI has fluctuated in recent months when KOSPI fell



Source: Bloomberg, Morgan Stanley Research

Exhibit 14: Similarly, KRW also has not appreciated as consistently as before from a rise in KOSPI

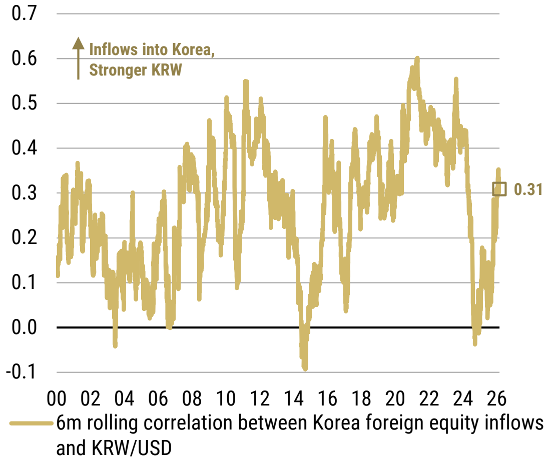


Source: Bloomberg, Morgan Stanley Research

Another factor determining the correlation between KRW and KOSPI is the level of foreign equity investors' FX hedge ratio. A higher FX hedge ratio could increase the probability of a more sustained negative correlation as there could be more scope for foreign investors to reduce their FX hedges if equities fall or they reduce their exposure.

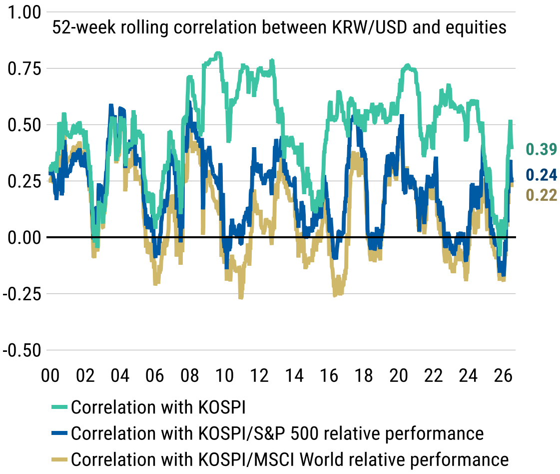
Using the correlation between USD/KRW and foreign investor flows in Korea equities as a guide, it would suggest that foreign investors' FX hedge ratio has been declining recently and is currently sitting around the long-term average (Exhibit 15). This does not point strongly to a sustained inverse relationship between KRW and KOSPI.

Exhibit 15: Correlation between KRW and equities back at the long-term average



Source: Bloomberg, Morgan Stanley Research

Exhibit 16: KRW continues to be positively correlated with KOSPI outright and relative performance

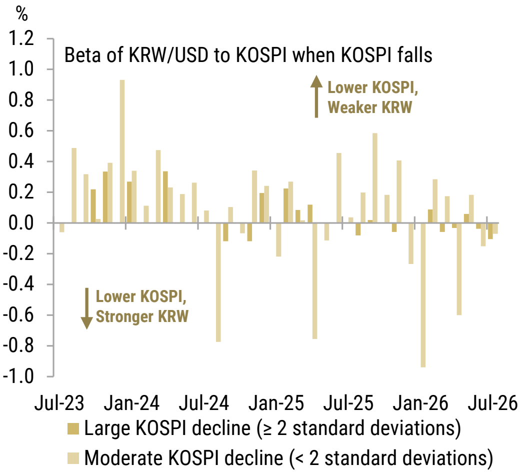


Source: Bloomberg, Morgan Stanley Research

The volatility of the equity move may matter. As seen in Exhibit 17 and Exhibit 18 , the beta is more likely to deviate from the usual positive sign when the equity moves are more moderate. When KOSPI sees large corrections, KRW has appreciated against USD on average in recent months but the beta is smaller. Conversely, when KOSPI sees large rallies, KRW has often appreciated in line with the usual relationship.

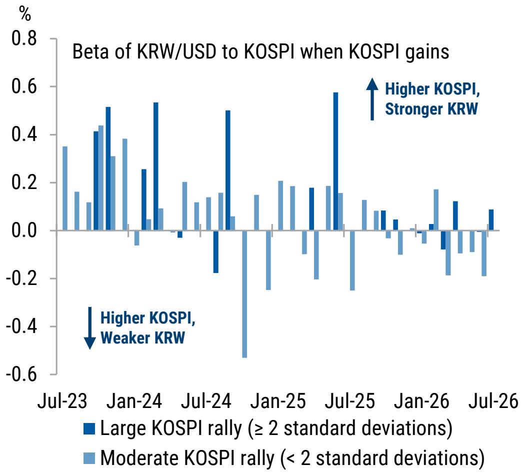
The driver of the equity move also matters. If KOSPI is falling alongside other global equity markets due to external factors, KRW could also weaken from a broader USD bid.

Exhibit 17: KRW has often appreciated during periods of KOSPI correction in recent months



Source: Bloomberg, Morgan Stanley Research

Exhibit 18: KRW is buoyed by large KOSPI rallies but has weakened when KOSPI rallies moderately



Source: Bloomberg, Morgan Stanley Research

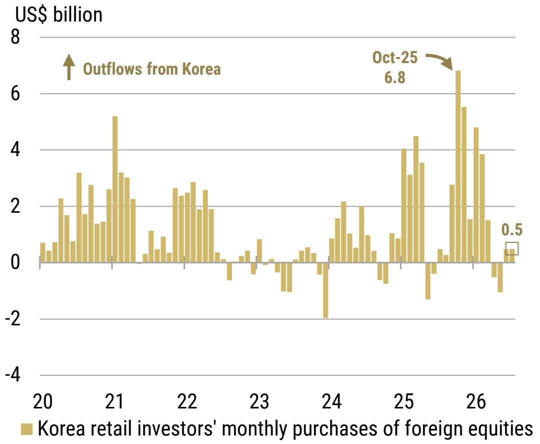
What's the KRW FX/rates outlook from here?

In the near term, there are some KRW-positive flow dynamics:

- The US listing by a large semiconductor company could generate some KRW inflows as the company has guided that a portion of the USD proceeds from the share listing will be used for capex in Korea. Media reports suggest that the FX conversion could start from July 15 and last through August.
- Corporates may need to increase FX conversion for corporate tax payments in August. Korea corporates typically pay tax twice a year, in March and August. In March 2026, corporates' onshore FX deposits fell sharply by US$13 billion partly due to this reason.

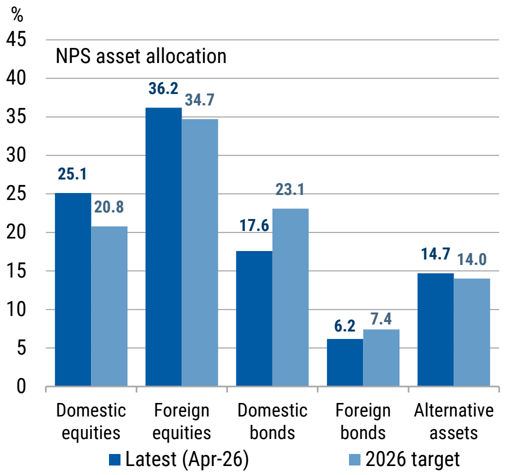
Overall, the outlook for exporters' FX conversion has improved. When considering over a longer time horizon, the recent large domestic capex announcements by Korea semi companies also bode well for KRW, not just from a growth perspective but also from a flows perspective as companies may need to convert more of their USD earnings into KRW for expenditure outlay.

Exhibit 19: Korea retail investors have resumed buying foreign equities in June and July in small sizes



Source: Haver Analytics, Morgan Stanley Research

Exhibit 20: NPS's allocations to foreign equities and alternative assets are within the buffer from its 2026 target



Source: Haver Analytics, Morgan Stanley Research

That said, equity flows may continue to be an overhang for KRW:

- **Foreign investor outflows may persist:** As discussed in When should foreign outflows simmer down? , we expect equity outflow pressure from foreign investors to persist, though the magnitude should be less than what we have seen in 1H26 as the KOSPI gains become driven by more stocks and the index sees more choppy price action.
- **On the domestic investors side, there could be a pickup in retail investors' foreign equity investments:** After turning into net sellers of foreign equities in April and May 2026, Korea retail investors have resumed purchases of foreign equities in June and July so far. With reduced tax incentives from the Reshoring Investment Account (RIA) and potential near-term weakness in memory stocks,

risks may be skewed towards a pickup in Korea retail investors' equity outflows from current low levels (Exhibit 19).

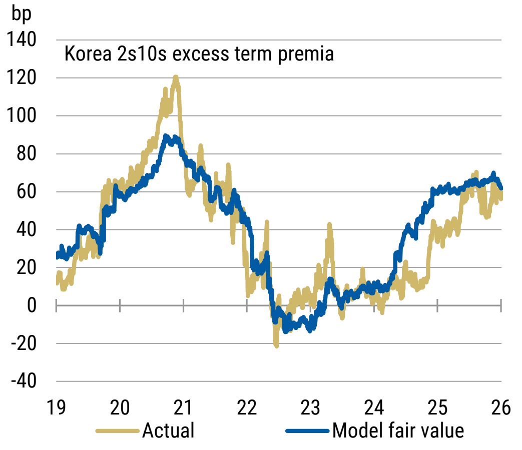
The NPS flows should be less of a source of KRW weakness than in previous years. Based on the latest data available as of April 2026, the NPS's current allocations to foreign equities and alternative assets (of which a large part is invested abroad) are already higher than its end-2026 target, but still within the +/-2% tactical asset-allocation buffer. It is also under-allocated to foreign bonds.

Therefore, we estimate that there may be modest outflows from the NPS for the rest of the year to the tune of ~US$5 billion, assuming that it rebalances to reach its 2026 allocation target. The increase in its strategic FX hedge ratio may even help to limit the downside for KRW as hedging could be triggered at elevated USD/KRW levels.

Overall, we are biased to look for moderate KRW appreciation given our global team's bearish USD skew and improved prospects for exporters' FX conversion. The magnitude of any potential appreciation may be constrained though by continued equity outflows from foreign investors – albeit at a slower pace – and Korea retail investors.

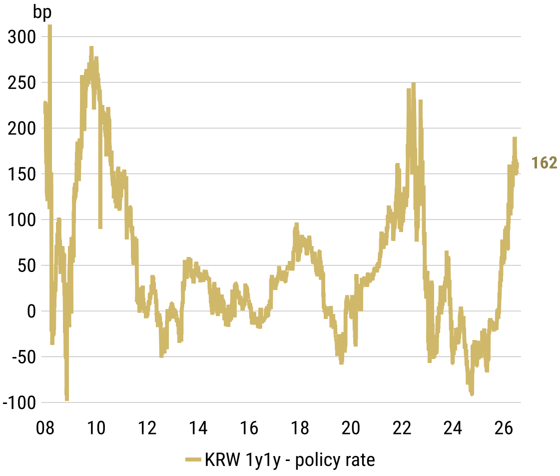
This suggests that in the absence of broader USD weakness, USD/KRW may remain in the ~1,490-1,560 range. For USD/KRW to see more room for downside, a break below ~1,485 may be required.

Exhibit 21: Our excess term premia model suggests the 2s10s KTB curve is around fair value



Source: Bloomberg, Morgan Stanley Research

Exhibit 22: Market pricing of BoK rate hikes is elevated but has not reached the 2022 high



Source: Bloomberg, Morgan Stanley Research

In rates, we are neutral at current levels. Korea yields have risen significantly and are approaching the 2022 highs, even though the BoK hiking cycle may be shallower this time and inflation is not as high. That said, our excess term premia model, which is based on the policy rate gap, inflation volatility and US term premia, suggests that the 2s10s curve is around fair value (Exhibit 21).

Fundamentals also continue to support elevated yields, with Korea's growth likely to remain strong, inflation likely to remain above-target, Seoul house prices still elevated and KRW being relatively weak. Our economists expect the BoK to hike rates and provide hawkish commentary at the upcoming BoK meeting on July 16, which should keep the market pricing of rate hikes intact.

The 2027 budget proposal scheduled to be released in late August may also continue to show an expansionary fiscal stance, though additional KTB issuance may not be required given strong tax revenues. This may make it a neutral event for yields, though it depends on market estimates of KTB issuance closer to the date.

Economics

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Underlying Fundamentals Supportive of KRW

While recent USDKRW moves have been driven more by flow dynamics than by underlying economic fundamentals, we remain constructive on the fundamental case for KRW appreciation. The following factors underpin our view:

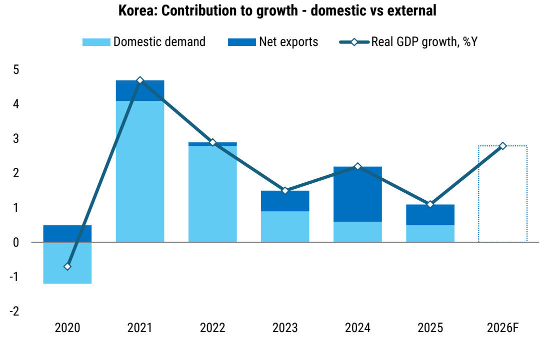
- A resilient growth recovery running largely above potential; our GDP growth forecast is 2.8% for 2026 with the risk balance tilted to the upside
- Double-digit export growth of 47%Y in 1H26 on a customs basis; resulting in the fastest pace of current account surplus accumulation on record, reaching US$141bn for January-May
- The BoK's clear pivot toward a rate-hiking cycle, with the first hike expected in July – we see two hikes in 2026 followed by two more in 2027

These structural factors have turned around to tailwinds and improved meaningfully in 2026 from posing headwinds that weighed on the KRW.

(1) Strong growth rebound vs the US

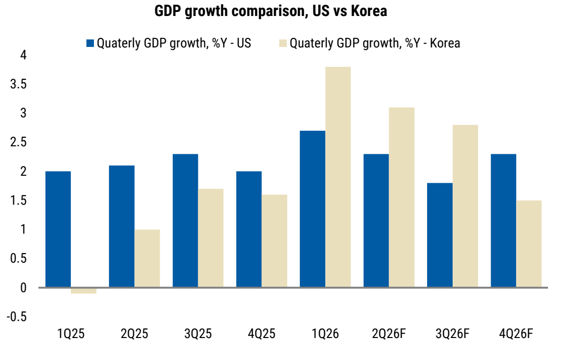
Korea's growth is set to undergo a dramatic reversal relative to the US this year, shifting from underperformance in 2025 to outperformance in 2026. In 2025, Korea's weak growth fundamentals relative to the strength in the US economy likely weighed down on the currency. Due to sluggish domestic demand, a contraction in construction investment, and headwinds from US tariffs on exports, the economy recorded below-potential growth of 1.1%Y. By contrast, the US economy grew approximately 2.2%Y, supported by resilient consumer spending and fiscal stimulus.

Exhibit 23: After recording sluggish growth in 2025, a strong rebound is providing support for the KRW



Source: BoK, Morgan Stanley Research forecasts

Exhibit 24: Korea's quarterly GDP growth trajectory is likely to outpace the US from 1Q26 onwards



Source: BoK, BEA, Morgan Stanley Research forecasts

In 2026, the growth differential is reversing. Korea's 1Q26 GDP surged 3.8%Y (1.8%Q), sharply beating the consensus forecast of 3.6% and marking the fastest pace of expansion in years. On the back of this momentum, we have raised our 2026 growth forecast to 2.8%Y, running clearly above Korea's potential growth rate of approximately 1.8%. The BoK has also raised its own official 2026 growth forecast to 2.6%, citing the semiconductor boom, with strong exports expected to contribute 0.7ppt to headline growth.

Meanwhile, the US grew 2.0% in 1Q26 (annualized), below expectations of 2.3%, with personal consumption expenditure slowing to 1.6%. Our US team projects real GDP growth of 2.3% in 2026, with higher energy prices acting as a headwind to consumption. This relative growth outperformance by Korea should start to exert structural strengthening pressure on the KRW this year.

(2) Export rebound and record-high current account balance

Korean export growth faced downward pressure in 2025 partially on tariff concerns, decelerating to just 3.6% from 6.6% in 2024, with a trade surplus of US$77bn for the year. A recovery began to take hold from 4Q25 and accelerated sharply into 1H26, with exports surging 47.7%Y on the back of strong semis demand and the AI super-cycle.

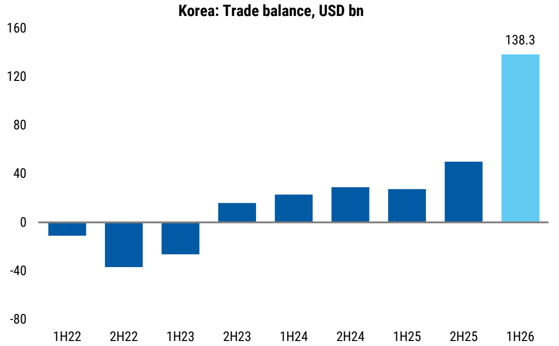
In June trade data, our positive view on Korea's export outlook was once again reinforced. Exports surged 70.9%Y to a record US$102.3bn, accelerating from 53.4%Y in May. The report provided further evidence that AI-driven semi demand and improving memory fundamentals continue to underpin Korea's export upcycle, while the broader improvement across non-tech manufacturing reduced concerns on an excessively concentrated demand picture (see South Korea: June Trade: A Fresh Record High).

The outlook for the rest of the year remains constructive, with full-year export growth likely to sustain above 50%, on our estimates. The trade surplus of US$138bn in 1H26 alone points to a full-year figure in excess of US$200bn – more than double the 2025 level – a development that materially strengthens the structural case for KRW appreciation.

Exhibit 25: Exports have turned around thanks to the semis super-cycle

Source: KITA, Morgan Stanley Research

Exhibit 26: Record-high trade balance surplus provides underlying strengthening pressure to the KRW



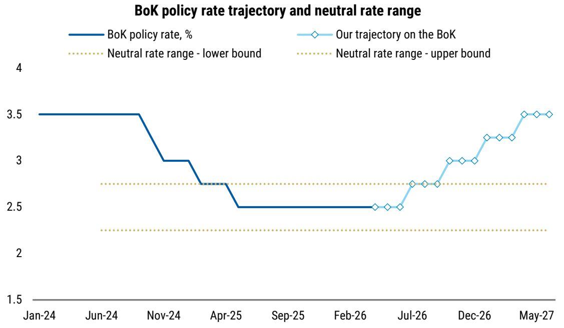
Source: KITA, Morgan Stanley Research

(3) BoK's pivot toward a rate-hiking cycle

Against a backdrop of building underlying inflationary pressures and a broadening domestic demand recovery, the BoK made a sharp reversal in its rate path at the May policy meeting, signalling a rate hike as early as July (see BoK Review: All Signs Point to Hiking Path). We have brought forward our first hike call to July and raised our terminal rate forecast to 3.5%. With our US team maintaining the view that the Fed will keep rates unchanged through the remainder of this year, the narrowing of the Korea-US rate differential provides an additional fundamental underpinning for KRW appreciation, adding to the structural strengthening forces already in place.

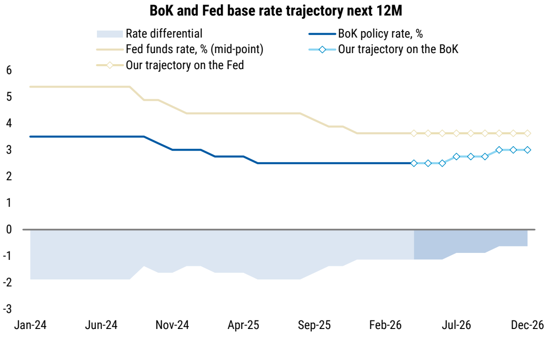
The BoK's hawkish pivot is notable not only for its timing but for its conviction. The central bank's confidence in Korea's growth recovery and in the persistence of demand-driven price pressures suggests the hiking cycle is likely to be both faster and longer than previously anticipated. This stands in contrast to the easing bias that characterized the BoK's stance through much of 2025, and represents a meaningful regime shift in the monetary policy backdrop. As the rate differential between Korea and the US narrows, the carry dynamics that had weighed on the KRW are set to become increasingly supportive, reinforcing our FX team's view on broader fundamental case for KRW strength.

Exhibit 27: BoK has made a sharp turnaround in its rate path, signalling a hike as soon as July



Source: BoK, Morgan Stanley Research forecasts

Exhibit 28: Narrowing of rate differential should add another underlying backdrop favorable for KRW rebound



Source: BoK, Fed, Morgan Stanley Research forecasts

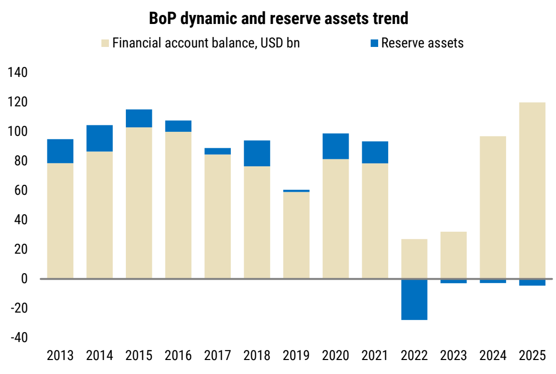
Change in BoP dynamics: Compressed reserve assets put increased weakening pressure on the KRW

From a more medium-term perspective, we identify the structural dynamics within the balance of payments (BoP) that have driven this asymmetric pressure toward KRW weakness since 2022. While Korea has maintained a current account surplus on an annual basis since 1997, alongside this sustained accumulation of surpluses we can also observe a record build-up in financial account assets. This **increase in financial account assets led to the compression of reserve assets,** which turned negative in 2022. This was the first time Korea had recorded a deficit since 2008 (-US$56bn) and deficits continued for four consecutive years through to 2025.

Reserve assets represent the residual balance between the current account and the financial account, and we use this as a gauge to buffer against BoP imbalances. In terms of the reserve assets dynamic, the larger the position, the greater the cushion against FX volatility and the stronger the support for terms of trade stability. We note that when reserve assets turned negative in 2022, a liability position was recorded with a notable portion of USD holdings retained onshore.

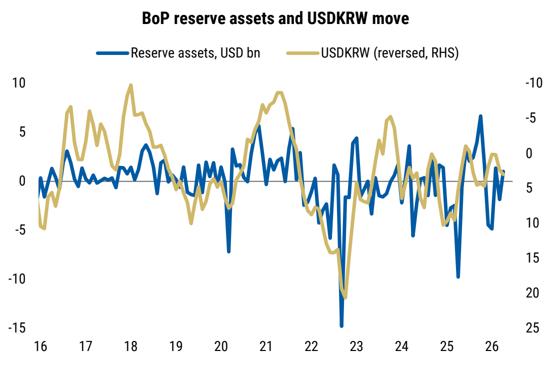
Historically, reserve assets have exhibited a meaningful correlation with directional moves in the USDKRW, serving as a gauge of the degree of shielding force against currency pressure. In other words, despite Korea's substantial accumulation of USD receipts through the trade channel, the rising demand for USD, combined with increased USD outflows and a diminished reserve asset buffer, has translated into a structurally weaker FX backdrop. This flow-driven depreciation pressure persists even as Korea's underlying economic fundamentals remain resilient, underscoring that FX weakness is increasingly becoming a function of capital account dynamics rather than deteriorating trade performance.

Exhibit 29: Recent increase in financial account assets led to the compression of reserve assets



Source: BoK, Morgan Stanley Research

Exhibit 30: A diminished reserve asset buffer has translated into a structurally weaker FX backdrop for the KRW



Source: Bloomberg, BoK, Morgan Stanley Research

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Still expecting somewhat rougher seas in 2H26

KOSPI was up 101% in 1H26, with chipmakers up more than 200% during this period, accounting for 79% of the market cap increase. Our view on the KOSPI has been for a stronger 1H26 and for a choppier 2H26, with our KOSPI target at 9,000 but still leaning more to our bull case (10,500) than bear case (6,500). The key factors determining our view were that:

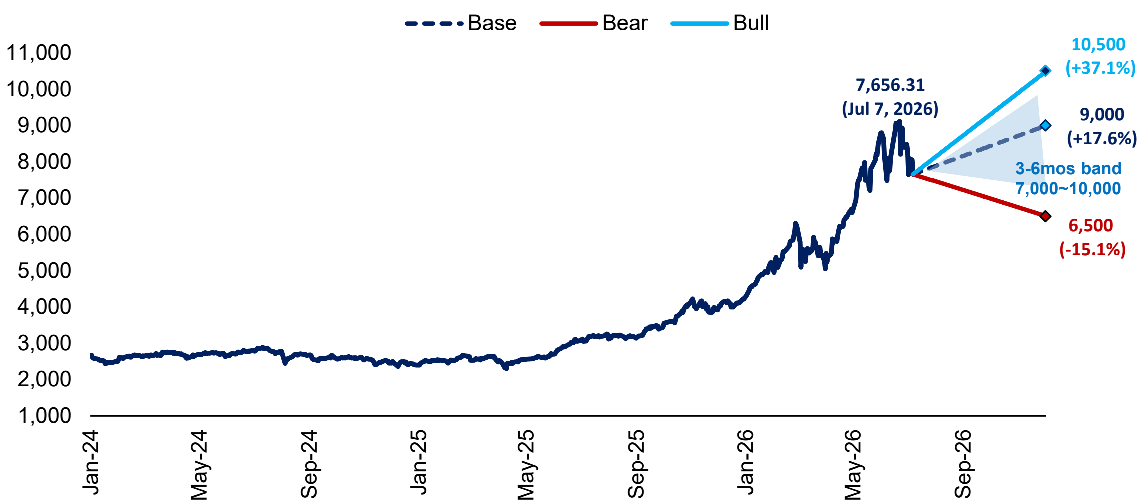
(1) The rate of change for consensus earnings was strong in 1H26, with a slope of change difficult to maintain in 2H26

(2) Domestic liquidity conditions are still abundant, but a tightening of lending and credit facilities will make less leverage available to retail investors

(3) External uncertainties including Fed monetary policy direction and geopolitical risks.

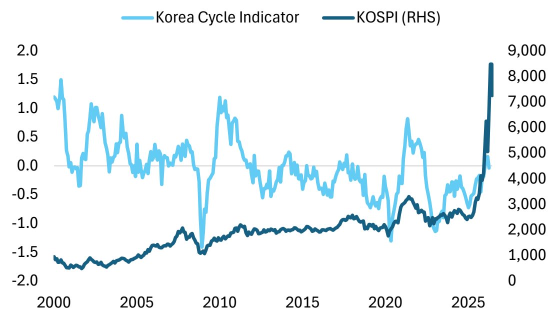
2026 South Korea Mid-Year Outlook: Mettle to Sail Rough Seas (12 May 2026)

Exhibit 31: KOSPI Target and Bull/Bear



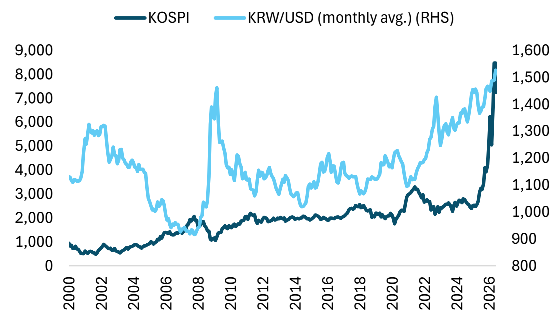
Source: Morgan Stanley Research estimates

Exhibit 32: KOSPI vs. KOSPI Cycle Indicator



Source: WiseFN, Bloomberg, BoK, Morgan Stanley Research

Exhibit 33: KOSPI vs. FX rate



Source: BoK, WiseFN, Morgan Stanley Research

Exhibit 34:

2026 YTD Fund Flows by Investor Type and Price Performance

(%, Wbn)	KOSPI	IT	Materials	Industrials	Energy	Cons.Disc.	Financials	Healthcare	Comm.svcs.	Cons.Stp.	Utilities
Index wght	100%	65%	2%	12%	2%	5%	7%	2%	2%	1%	1%
2026 YTD Perf.	91.1%	194.5%	-5.8%	44.4%	58.2%	35.6%	35.6%	-14.5%	-12.9%	5.3%	-12.4%
2025 Perf.	75.6%	142.7%	26.5%	106.1%	46.1%	35.3%	53.6%	21.1%	20.5%	21.8%	87.6%
Foreigners Net Buying	-157,879	-142,805	1,361	956	1,696	-13,455	-3,206	1,777	-1,400	518	-444
Domestic Retail Net Buying	107,541	97,720	-1,482	-2,188	-1,598	11,676	-403	-658	1,794	-428	1,083
Domestic Institution Net Buying	35,839	30,165	-453	3,271	514	624	3,749	-1,349	-611	-101	-596
Pension Funds Net Buying	-8,977	-4,016	-100	-1,730	253	-23	-1,459	-1,022	-451	-173	-374

Source: WiseFN, Morgan Stanley Research, Data as of Jul 6, 2026.

Foreign investors' views and positioning in Korean equities

Overall constructive on Korean equities

Based on our discussions with foreign investors, we believe they are constructive on the Korean equity market but have concerns about the increased volatility of the market. This has adversely affected sentiment but has not broken down the view of Korea remaining a relatively attractive equity market.

- We reiterate that greater product and investor breadth is a double-edged sword; while it boosts liquidity, it increases volatility. We continue to see the amplitude of the ups and downs being quite wide for KOSPI.

- The Tech sector, notably the chipmakers, continues to garner the most interest from investors but the ebbs and flows regarding the AI-related newsflow are leading to bigger swings, especially with the chipmakers being around half of the KOSPI market cap. Our tech analyst Shawn Kim's view on the chipmakers remains positive; refer to Tech Bytes: Memory – Changing Tides (6 Jul 2026).
- AI-linked sub-sectors/stocks are also getting their share of investor attention, especially the proxy holding companies such as SK Square, Samsung Life and Samsung C&T.
- More recently, we have seen a broadening out of interest into thematics such as energy security, defense, wealth effect and reform.

South Korea: Shaken but Not Broken (23 Jun 2026)

Exhibit 35: 2026 YTD Sub-sector Performance

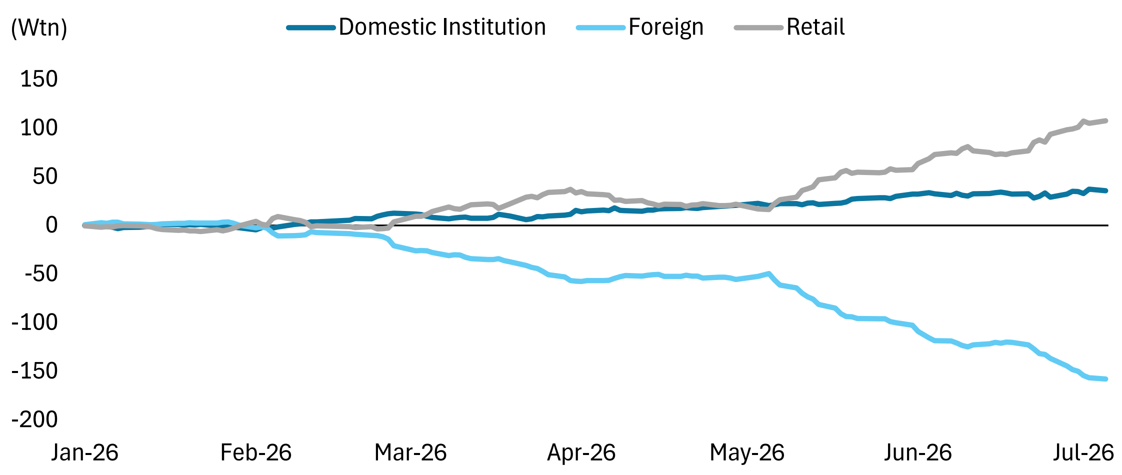
2026 YTD (%, Wtn)	YTD Perf.	2025 Perf.	YTD Foreign	YTD Retail	YTD Domestic Inst.
KOSPI	**91.1%**	**75.6%**	**(157.9)**	**107.5**	**35.8**
Hardware	304.1%	91.6%	0.1	(0.5)	0.5
Semiconductors	202.5%	165.8%	(142.9)	97.6	28.7
Trading firm,Capital Goods	88.6%	139.2%	(0.2)	(3.0)	3.1
Insurance	68.5%	44.4%	0.1	(0.5)	0.3
Retailing	64.3%	33.4%	0.9	(1.1)	0.1
Energy	58.2%	46.1%	1.7	(1.6)	0.5
Construction,Building Products	51.6%	48.0%	0.0	0.9	(0.9)
Applicance	48.2%	9.3%	0.2	(0.0)	1.2
Automobiles	41.8%	36.3%	(15.8)	14.8	(0.1)
Securities	40.8%	70.3%	(1.9)	1.2	0.7
Machinery	36.1%	171.8%	0.7	(0.4)	0.8
Banks	26.7%	55.0%	(1.4)	(1.1)	2.7
Telecommunication Services	24.4%	13.2%	(0.0)	(0.3)	0.3
Cosmetics,Apparel,Toys	18.2%	33.2%	1.7	(2.2)	0.5
Consumer Staples	5.3%	21.8%	0.5	(0.4)	(0.1)
Transportation	4.1%	20.5%	(0.0)	0.0	(0.1)
Steel	1.5%	21.3%	0.4	(0.4)	0.1
Shipbuilding	0.9%	98.9%	0.5	0.3	0.3
Chemicals	-5.2%	29.4%	2.0	(1.5)	(0.6)
Display	-9.0%	21.4%	0.3	(0.1)	(0.2)
Utilities	-12.4%	87.6%	(0.4)	1.1	(0.6)
Software	-13.9%	23.4%	(1.9)	2.0	(0.3)
HealthCare	-14.5%	21.1%	1.8	(0.7)	(1.3)
Nonferrous Metals,Forest Products	-17.4%	29.3%	(1.0)	0.4	0.1
Hotel,Leisure Services	-25.4%	38.5%	(0.2)	0.2	0.0
Media,Education	-29.7%	46.7%	(0.0)	0.8	(0.7)

Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul 6, 2026; Past performance is no guarantee of future results.

Positioning in the Korean equity market? Down from historical high weighting

Despite the generally constructive views on the Korean equity market, we have continued to see sizable foreign net outflows from the KOSPI market with cumulative net outflows of W158tn as of July 7, 2026.

Exhibit 36: KOSPI: Fund Flows by Investor Type



Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul 6, 2026;

We continue to receive queries on why we have seen such heavy foreign selling if the view on the market is generally constructive, which we believe are as follows:

(1) Portfolio rebalancing + risk management: We believe the main reason for the foreign net outflows is due to rebalancing by regional and global asset managers as the weighting on a country, sector and stock perspective mainly due to the dramatic outperformance of the Korean chipmakers (+202% YTD) in 2026.

- Korea's MSCI EM index weight as of May was 23.1%, up from 13.3% as of December 2025. With the continued surge of KOSPI during 2026, we believe actual portfolio weightings were likely to have outpaced the index.

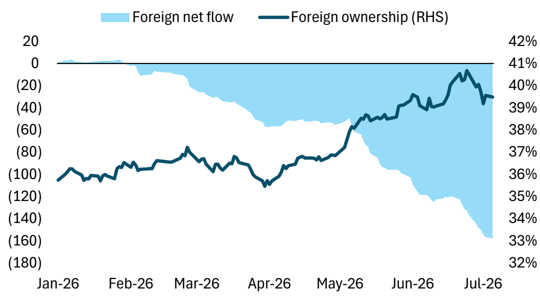
On a risk management perspective, investment managers have portfolio weighting limits on country, sector and single stock exposures, and this differs by institution with diversified institutional managers having lower limits (3-5%) compared to concentrated institutional managers (8-10%). We believe that the sector and the single stock exposure limits were the bigger factors for the rebalancing. Samsung Electronics and Hynix positions have likely breached those limits, hence the need for rebalancing. The lion's share of the selling has been in the IT sector.

(2) Profit-taking + derisking: Profit-taking could be also linked to risk management. We are hearing from foreign investors that the level of volatility in the Korean equity market is a concern, and if there was to be an unwinding of the AI narrative the risk looks higher for Korea than other markets. Hence, we believe there is some profit-taking being carried out due to fatigue building up and also to lock in returns.

(3) A weak KRW: Foreign selling is putting pressure on the KRW but there are other factors at play and conventional wisdom points to foreign investors being more cautious on FX risk if there is uncertainty on direction. Historically, a weakening KRW has had the tendency for foreign investors to be more conservative on investing in Korea.

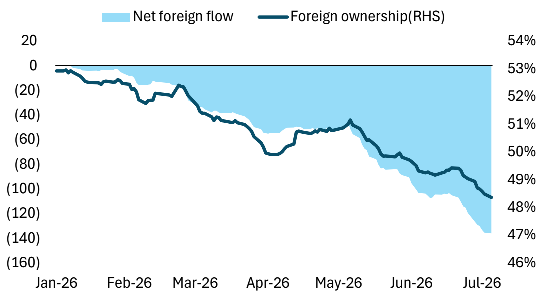
For most of the year, portfolio rebalancing seems to have been the main reason for foreign net outflows, but more recently we have seen fatigue building up in Korean equities, namely the chipmakers, due to the high level of volatility.

Exhibit 37: KOSPI: Foreign Flows (Wtn) vs. Foreign Ownership



Source: WiseFN, Morgan Stanley Research

Exhibit 38: SEC+SK Hynix: Foreign Flows (Wtn) vs. Foreign Ownership



Source: WiseFN, Morgan Stanley Research

What are the weightings for Korea on a country, sector and stocks perspective?

Our Asia EM equity strategy team publishes a monthly Flows & Positioning report, which is a very useful source of information on how EM fund managers are positioned. While it does not provide definitive data to backtest or forecast what the magnitude of the potential fund flows is, but we can get an idea of the direction of foreign fund flows.

Asia EM Equity Strategy: Flows & Positioning Guide (2 Jul 2026)

When we look at EM fund managers' relative market allocation vs. history, we can see that the weighting for Korea was at the peak of the 5-year band in December 2025. This trend continued into February, but since March we have seen the weighting decline.

Exhibit 39: Dec-25: EM Fund Managers' Relative Market Allocation vs. History

Source: EPFR Global, Morgan Stanley Research. Note: Data as of December 31, 2025. *Japan and EM fund weight in global funds. Note: Monthly data is available on the 24th of the next month

Exhibit 40: May-26: EM Fund Managers' Relative Market Allocation vs. History

Source: EPFR Global, Morgan Stanley Research. Note: Data as of May 31, 2026. *Japan and EM fund weight in global funds. Note: Monthly data is available on the 24th of the next month.

When we compare Korea to other key markets in EM/Asia, Korea has the highest country weighting as of May 2026 at 25.0% together with Taiwan for International Funds. Compared to the MSCI EM Index Weighting (23.1%), Korea as of May 2026 is +1.9% on an Active Weighting standpoint.

Exhibit 41: Active fund positions in EM equities by market and changes in 2026 YTD

	International & US Funds				International Funds - UCITS			US Funds		
Market	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change YTD 26	Portfolio Composite Weight	Active Weight	Active Weight Change YTD 26	Portfolio Composite Weight	Active Weight	Active Weight Change YTD 26
Brazil	**7.0%**	3.9%	3.1%	-0.5%	6.1%	2.3%	-0.4%	7.3%	3.4%	-0.5%
Korea	**24.5%**	23.1%	1.4%	0.4%	25.0%	1.9%	-0.3%	24.3%	1.3%	0.6%
India	**10.3%**	10.9%	-0.6%	-0.7%	9.3%	-1.6%	0.2%	10.6%	-0.2%	-1.0%
China	**18.3%**	20.4%	-2.1%	1.1%	19.3%	-1.1%	1.6%	17.9%	-2.4%	0.9%
Taiwan	**24.3%**	26.4%	-2.1%	-0.5%	25.0%	-1.4%	-0.6%	24.1%	-2.3%	-0.4%

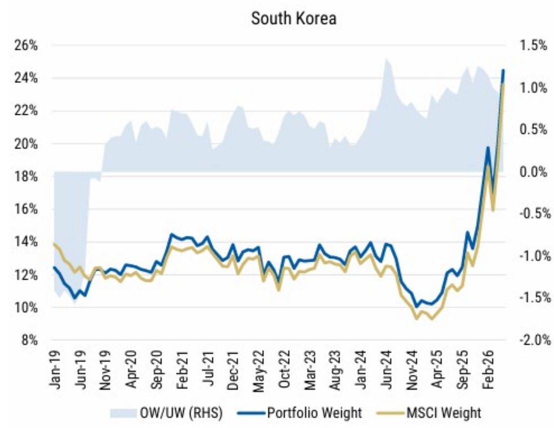
Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of May 31, 2026. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - Methodology of Our Fund Analysis.

Exhibit 42: Active fund positions in EM equities by market and changes in QTD

	International & US Funds				International Funds - UCITS			US Funds		
Market	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
Brazil	**7.0%**	3.9%	3.1%	-1.3%	6.1%	2.3%	-1.1%	7.3%	3.4%	-1.4%
Korea	**24.5%**	23.1%	1.4%	0.9%	25.0%	1.9%	0.4%	24.3%	1.3%	1.1%
India	**10.3%**	10.9%	-0.6%	-0.4%	9.3%	-1.6%	0.0%	10.6%	-0.2%	-0.5%
China	**18.3%**	20.4%	-2.1%	1.1%	19.3%	-1.1%	1.3%	17.9%	-2.4%	1.1%
Taiwan	**24.3%**	26.4%	-2.1%	0.0%	25.0%	-1.4%	-0.3%	24.1%	-2.3%	0.1%

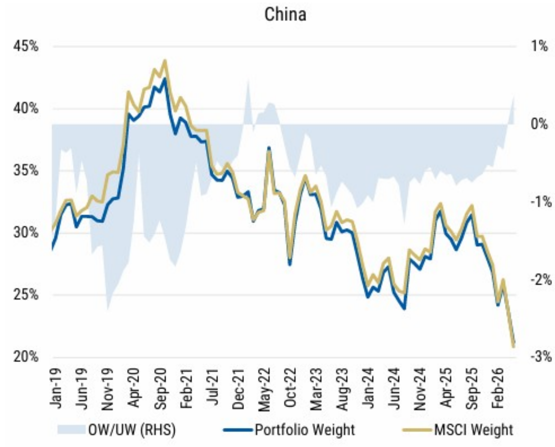
Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of May 31, 2026. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - Methodology of Our Fund Analysis.

Exhibit 43: GEM Fund Managers' Portfolio Weight in South Korea vs. MSCI Weight – Both portfolio and benchmark weights increased sharply; overweight narrowed



Source: EPFR country allocation, FactSet, Morgan Stanley Research. Note: Data as of May 31, 2026

Exhibit 44: GEM Fund Managers' Portfolio Weight in China vs. MSCI Weight – Portfolio weight dropped less than index weight; flipped to a small overweight



Source: EPFR country allocation, FactSet, Morgan Stanley Research. Note: Data as of May 31, 2026

On a single-stock perspective, both Samsung Electronics and Hynix have a positive active weighting compared to the MSCI EM index weight as of May, 2026, What is notable is that for Hynix, the active weight for international funds is only +0.1% but for US funds it is +1.9%.

Exhibit 45: TSMC / Korean Stocks within top 50 holdings among long-only EM active managers and changes YTD

			International & US Funds				International Funds - UCITS			US Funds		
Ticker	Company Name	GICS Industry Group	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change YTD 26	Portfolio Composite Weight	Active Weight	Active Weight Change YTD 26	Portfolio Composite Weight	Active Weight	Active Weight Change YTD 26
2330-TW	Taiwan Semiconductor Manufacturing	Semiconductors & Semiconductor Equipment	**13.9%**	14.5%	-0.6%	-1.4%	10.8%	-3.7%	-2.8%	15.1%	0.6%	-0.9%
005930-KR	Samsung Electronics	Technology Hardware & Equipment	**9.0%**	8.6%	0.3%	-0.3%	10.3%	1.7%	0.4%	8.4%	-0.2%	-0.6%
000660-KR	SK hynix	Semiconductors & Semiconductor Equipment	**8.0%**	6.6%	1.4%	0.3%	6.7%	0.1%	-0.5%	8.5%	1.9%	0.6%
402340-KR	SK Square Co	Capital Goods	**1.9%**	0.6%	1.3%	0.8%	1.3%	0.7%	0.3%	2.1%	1.5%	0.9%
105560-KR	KB Financial Group	Banks	**0.4%**	0.3%	0.1%	-0.1%	0.3%	0.0%	0.0%	0.4%	0.1%	-0.1%
012330-KR	Hyundai Mobis	Automobiles & Components	**0.4%**	0.2%	0.1%	0.0%	0.2%	0.0%	0.0%	0.4%	0.2%	0.0%
000270-KR	Kia	Automobiles & Components	**0.4%**	0.2%	0.1%	0.0%	0.7%	0.5%	0.0%	0.2%	0.0%	0.0%
005380-KR	Hyundai Motor Co /KR	Automobiles & Components	**0.3%**	0.6%	-0.3%	-0.2%	0.3%	-0.3%	-0.1%	0.3%	-0.3%	-0.2%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of May 31, 2026. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - Methodology of Our Fund Analysis.

Exhibit 46: TSMC / Korean Stocks within top 50 holdings among long-only EM active managers and changes QTD

			International & US Funds				International Funds - UCITS			US Funds		
Ticker	Company Name	GICS Industry Group	Portfolio Composite Weight	MSCI EM Index Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD	Portfolio Composite Weight	Active Weight	Active Weight Change QTD
2330-TW	Taiwan Semiconductor Manufacturi	Semiconductors & Semiconductor Equipment	**13.9%**	14.5%	-0.6%	-0.6%	10.8%	-3.7%	-1.3%	15.1%	0.6%	-0.3%
005930-KR	Samsung Electronics	Technology Hardware & Equipment	**9.0%**	8.6%	0.3%	-0.1%	10.3%	1.7%	0.3%	8.4%	-0.2%	-0.3%
000660-KR	SK hynix	Semiconductors & Semiconductor Equipment	**8.0%**	6.6%	1.4%	0.7%	6.7%	0.1%	-0.2%	8.5%	1.9%	1.0%
402340-KR	SK Square Co	Capital Goods	**1.9%**	0.6%	1.3%	0.7%	1.3%	0.7%	0.4%	2.1%	1.5%	0.8%
105560-KR	KB Financial Group	Banks	**0.4%**	0.3%	0.1%	0.0%	0.3%	0.0%	0.0%	0.4%	0.1%	0.0%
012330-KR	Hyundai Mobis	Automobiles & Components	**0.4%**	0.2%	0.1%	0.0%	0.2%	0.0%	0.0%	0.4%	0.2%	0.0%
000270-KR	Kia	Automobiles & Components	**0.4%**	0.2%	0.1%	0.0%	0.7%	0.5%	0.0%	0.2%	0.0%	0.0%
005380-KR	Hyundai Motor Co /KR	Automobiles & Components	**0.3%**	0.6%	-0.3%	-0.1%	0.3%	-0.3%	-0.1%	0.3%	-0.3%	-0.1%

Source: FactSet, Morningstar, Morgan Stanley Research. Note: Data as of May 31, 2026. For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley ResearchDisclosure Website at www.morganstanley.com/researchdisclosures. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - Methodology of Our Fund Analysis.

We do not have the June numbers yet for the portfolio weightings but based on the performance shown during June for KOSPI and the chipmakers, the weightings should not have changed too much, in our view.

When should foreign outflows simmer down?

As there are many factors that impact foreign flows and also a lack of data to perform an accurate analysis of the various factors, it is very difficult to forecast foreign flows. However, as we assume that portfolio rebalancing and risk management are the key drivers of foreign net outflows, we may be able to provide a direction of foreign flows.

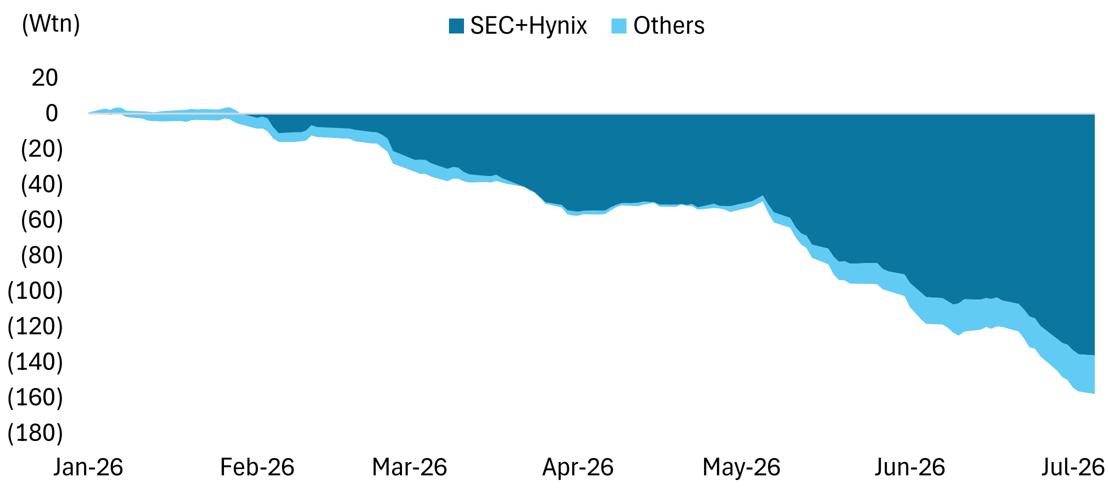
We will need make some assumptions:

(1) The expected share price performance for the chipmakers should be the key factor for portfolio rebalancing/risk management as most of the foreign outflows have been for Samsung Electronics and SK Hynix. Our tech analyst, Shawn Kim, expects a breather for the chipmakers in the near term but remains bullish longer term – refer to Tech Bytes: Memory – Changing Tides (6 Jul 2026).

(2) We expect a broadening out of performers with energy security, financials, defense, healthcare and high-end consumption plays. If other parts of the market begin to outperform the Tech sector, this should lead to a lower weighting for the chipmakers and hence less pressure for rebalancing.

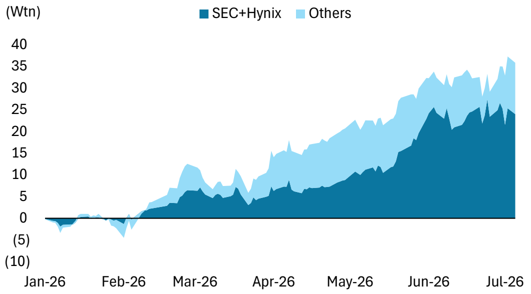
(3) Performance of EM/Asian peers also matters and our most recent major call has been our more bullish view on the Indian equity market – refer to India Equity Strategy Playbook: Outperformance Ahead (6 Jul 2026)

Exhibit 47: KOSPI: Net Foreign Purchase Value for SEC + Hynix vs. Others



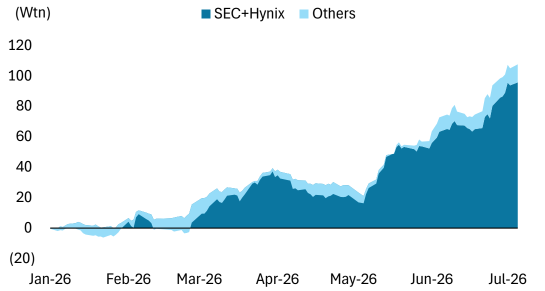
Source: WiseFN, Morgan Stanley Research

Exhibit 48: KOSPI: Net purchase amount by domestic institutions: SEC + Hynix vs. Others



Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul 6, 2026

Exhibit 49: KOSPI: Net purchase amount by retail investors: SEC + Hynix vs. Others



Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul 6, 2026

At this juncture, we believe that foreign net outflows should be maintained but the magnitude of outflows should be lower in 2H26 within our KOSPI base case and even the bull case assuming that the upside is not only driven by chipmakers but by a broader group of stocks.

In a scenario where we see KOSPI not breaking out beyond our KOSPI target of 9,000 with the breadth of performers broadening out, we believe that rebalancing pressure should abate to some level as the weighting of chipmakers remains stable or declines.

When we track the monthly foreign fund flows for 2026, we find April showed positive inflows following weaker performances by the chipmakers in March. This is a somewhat simplistic way of approaching this issue, but considering the somewhat weaker trends we have seen in June and July for the KOSPI and chipmakers, we believe the selling pressure could be lower.

Exhibit 50: Cumulative Foreign Flows and Price Performance

(Wbn, %)		YTD	1H26	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
KOSPI	Foreign flow	-160,795	-148,314	151	-21,059	-35,746	1,231	-44,464	-48,427	-12,481
	Performance	82%	101%	24%	20%	-19%	20%	28%	-4%	-8%
Samsung Elec	Foreign flow	-77,694	-72,303	-4,238	-14,564	-18,173	1,360	-15,975	-20,712	-5,392
	Performance	147%	179%	34%	35%	-23%	16%	44%	-4%	-6%
SK Hynix	Foreign flow	-61,460	-56,846	-1,738	-7,585	-8,120	862	-20,660	-19,605	-4,614
	Performance	238%	307%	40%	17%	-24%	44%	81%	12%	-14%

Source: WiseFN, Morgan Stanley Research, Data as of Jul 7 2026

Exhibit 51: Domestic Market: Foreigners' Net Buying Trends

(Wbn)	Net Buying						
	2025	2026YTD	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Domestic Equities	-11,768	-114,226	-98	-19,558	-43,505	-4,046	-47,019
Domestic Bonds	63,235	9,306	3,557	7,432	-10,916	442	8,791
Total	51,467	-104,920	3,459	-12,126	-54,421	-3,604	-38,228

(Wtn)	Balance		
	2025	2026YTD	vs. 2025
Domestic Equities	1,327	2,852	*115%*
Domestic Bonds	329	334	*2%*
Total	1,655	3,186	*92%*

Source: FSS, Morgan Stanley Research, Data as of May 2026

Key FAQs related to flows

Are retail investors sticking to domestic equities or re-engaging with overseas equities?

We continue to see retail investors sticking to domestic equities with interest levels being high for ETFs, especially leveraged ETFs. As we asserted in our recent deep-dive report on retail investors, we expect the equity proportion of household financial assets to reach around 35% by end-2026, assuming our base case KOSPI target of 9,000 and also retail liquidity remaining copious but net inflows to be lower in 2H26 vs. 1H26.

- Retail net inflows in 1H26 were W99tn on the back of copious liquidity, positive newsflow on AI and the introduction of single-stock leveraged ETFs.
- We believe there should continue to be net inflows from the retail side but realistically another W100tn of inflows seems unlikely as we expect to see more control over leverage and also other investment vehicles being considered (e.g. overseas equity, Korea Growth Fund).

We reiterate that for retail participation to become structurally stickier, Korea needs a broadening out of quality stocks and also more focus on capital management. To add, the current rally needs to be sustained without a bear market correction (20% or greater correction) in order to build up retail investor confidence in the domestic market. This means that the structural stories driving the market need to continue and the breadth of performing sectors/stocks needs to improve.

Korea Renaissance: Is the Household Asset Move to Equities Sustainable? Possibly (11 Jun 2026)

Exhibit 52: Korea Aggregate Household Financial Holdings Trend and Forecast (Base Case)

(KRW in trillions)	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Total household financial holdings	**3,981.5**	**4,532.8**	**4,927.3**	**4,971.2**	**5,209.4**	**5,472.6**	**6,201.9**	**7,256.8**	**7,656.4**
Currency & Deposits	1,782.9	1,966.7	2,139.0	2,285.6	2,414.2	2,536.7	2,676.5	2,730.0	2,811.9
Insurance & Pension Reserves	1,307.8	1,399.2	1,498.3	1,545.4	1,457.6	1,579.0	1,650.3	1,815.3	1,906.1
Securities other than Shares	141.5	148.0	117.3	133.2	168.6	199.6	182.1	192.1	217.1
Equities & Equivalent	**722.2**	**985.3**	**1,134.1**	**966.1**	**1,127.9**	**1,109.3**	**1,644.3**	**2,469.3**	**2,669.3**
Others	27	34	39	41	41	48	49	50	52

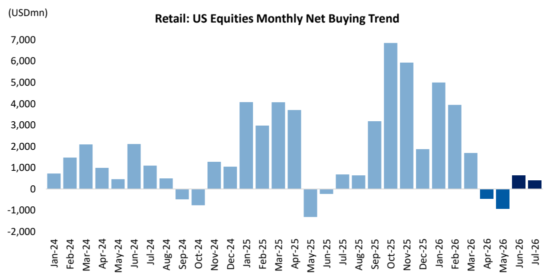
(%)	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
Currency & deposits	44.8	43.4	43.4	46.0	46.3	46.4	43.2	37.6	36.7
Insurance & pension reserves	32.8	30.9	30.4	31.1	28.0	28.9	26.6	25.0	24.9
Bond holdings	3.6	3.3	2.4	2.7	3.2	3.6	2.9	2.6	2.8
Equities & Equivalent	**18.1**	**21.7**	**23.0**	**19.4**	**21.7**	**20.3**	**26.5**	**34.0**	**34.9**

Source: BoK fund of flows data (2025), Morgan Stanley Research estimates

We are seeing retail investors making a reversal on overseas equities as June and July showed net inflows into overseas equities by retail investors albeit at lower levels than during 2025 and early 2026. According to data from KSD (Korea Securities Depository), monthly net purchases of US equities by domestic retail investors shifted back into positive territory in June after recording net selling in April and May. In June, Korean retail investors' net buying of US equities amounted to USD633mn. Meanwhile, the US equity balance held by domestic retail investors stood at around USD195bn as of end-June 2026, up roughly 19% from the end of 2025.

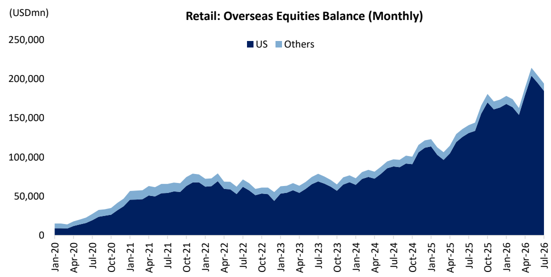
Separately, the RIA (Reshoring Investment Account), introduced on March 23, 2026 to incentivize domestic investment by retail investors, saw its balance rise relatively quickly to W2.6tn by the end of May. However, participation appears to have slowed after the 100% capital gains tax exemption ended at end-May, with balances increasing by only around W200bn over the following three weeks through mid-June, as of June 19. Under the RIA scheme, investors who sold overseas equities and repatriated funds by end-May were eligible for a full exemption on capital gains tax on overseas stocks, but the exemption rate falls to 80% from June to July and to 50% from August through year-end. Against a backdrop of strong US equity market performance, this reduced tax incentive may make RIA-based investment relatively less attractive.

Exhibit 53: Retail: US Equities Monthly Net Buying Trend



Source: SEIBRO, Morgan Stanley Research, Data as of Jul 6, 2026

Exhibit 54: Retail: Overseas Equities Balance (Monthly)



Source: SEIBRO, Morgan Stanley Research, Data as of Jul 6, 2026

How might National Pension domestic equity rebalancing affect the market?

The NPS's domestic equity allocation is typically reported with a lag of around 3 months, so the most recent available data are as of Apr 2026, which shows domestic equities accounting for 25.1% of financial assets. The current allocation is likely higher than the Apr 2026 level given that KOSPI is up 22% since end-Apr (as of Jul 6). While the NPS's strategic target allocation to domestic equities is 20.8%, some local media reports suggest that the Strategic Asset Allocation (SAA) buffer may have been temporarily doubled to 6ppt, although the NPS has not officially confirmed on this.

Assuming 6ppt as an SAA buffer, the allocation could rise to as high as 26.8% under the SAA framework. In addition, the NPS has a tactical buffer of up to 2ppt, which may be utilized at the discretion of the Investment Committee. Given all these, the maximum allowable domestic equity allocation could theoretically reach 28.8%. Therefore, an allocation above the 20.8% should not automatically trigger rebalancing. However, if the allocation exceeds the applicable buffer range, rebalancing could resume, potentially creating selling pressure.

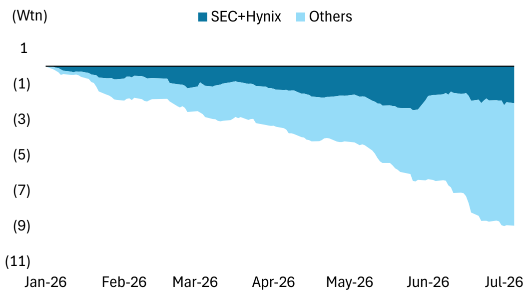
Exhibit 55: NPS Asset Allocation Plan: Previous vs. Updated

Total (financial investment only)		Actual (Apr 2026)	New				Previous		
			end-26 target	end-27 target	SAA buffer	5yr fwd target (end-31)	end-26 target	SAA buffer	5yr fwd target (end-30)
Equity	**Domestic**	**25.1%**	**20.8%**	**20.8%**	To be updated by end-26 (will not be disclosed)	55%	14.9%	±3.0%p	55%
	Overseas	**36.2%**	34.7%	35.6%			37.2%	±4.0%p	
Bonds (incl. short-term instruments)	Domestic	**24.0%**	23.1%	21.8%		30%	24.9%	±7.0%p	30%
	Overseas		7.4%	7.4%			8.0%	±0.5%p	
Alternative Investments		**14.7%**	14.0%	14.3%		15%	15.0%	na	15%

Source: NPS, Morgan Stanley Research

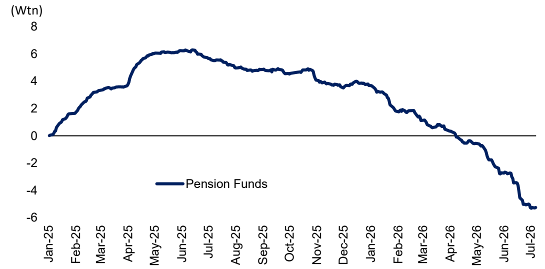
At the 6th National Pension Fund Management Committee meeting held on July 2, the Minister of Health and Welfare emphasized that the fund's investment process would be closely monitored to minimize any market impact from future rebalancing activity (Yonhap, July 2). Separately, the Democratic Party, led by Rep. Park Sun-won, proposed a partial amendment to the National Pension Act that would allow the fund to adjust the permissible deviation range from target asset allocations, or temporarily defer asset sales and purchases required to meet those targets, in the event of sharp fluctuations in financial or FX markets as prescribed by Presidential Decree. Overall, these developments suggest that policymakers are increasingly cognizant of the potential market impact of National Pension Service rebalancing.

Exhibit 56: KOSPI: YTD Net purchase amount by pension funds: SEC + Hynix vs. Others



Source: WiseFN, Morgan Stanley Research

Exhibit 57: KOSPI: Pension funds cumulative flow (since 2025)



Source: WiseFN, Morgan Stanley Research

Positioning

KRW sensitivity

When KRW strengthens 5% against USD, what is the level of impact on OP? (NP in case of financials)

Exhibit 58: MS Coverage: Stocks with Positive Impacts from KRW Strengthening against USD

								Price Performance				
Company Name	Ticker	Rating	Sector	Impact on OP from KRW strengthening vs. USD by 5%	Mkt Cap(Wtn)	Close(KRW)	TP (KRW)	Since end-Feb	YTD	1M	6M	12M
Samsung Biologics	207940.KS	OW	Health Care	+5% ~ 15%	65.8	1,422,000	1,988,000	-20%	-16%	6%	-20%	-6%
Hana Financial Group Inc.	086790.KS	OW	Financials	+5% ~ 15%	34.8	126,900	150,000	4%	35%	3%	36%	48%
KEPCO	015760.KS	UW	Utilities	+5% ~ 15%	24.5	38,200	29,000	-35%	-19%	0%	-23%	3%
SK Telecom	017670.KS	EW	Communication Services	+5% ~ 15%	18.3	85,200	80,000	7%	59%	-20%	60%	58%
Industrial Bank of Korea	024110.KS	UW	Financials	+5% ~ 15%	17.0	21,350	21,000	-17%	2%	3%	3%	12%
KT	030200.KS	EW	Communication Services	+5% ~ 15%	14.0	55,500	64,000	-13%	6%	3%	6%	-3%
SKBP	326030.KS	UW	Health Care	+5% ~ 15%	6.6	84,900	74,000	-29%	-32%	-4%	-32%	-8%
LG Uplus	032640.KS	OW	Communication Services	+5% ~ 15%	6.4	14,990	18,000	-9%	2%	-2%	4%	6%

Source: WiseFN, Morgan Stanley Research, Pricing data as of Jul 7, 2026

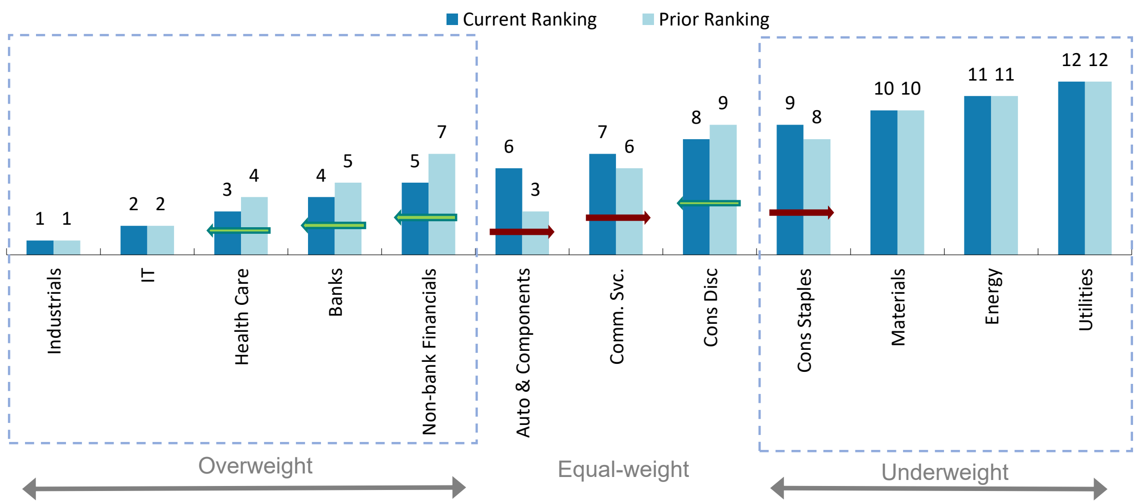
Exhibit 59: MS Coverage: Stocks with Negative Impacts from KRW Strengthening against USD

Company Name	Ticker	Rating	Sector	Impact on OP from KRW strengthening vs. USD by 5%	Mkt Cap (Wtn)	Close(KRW)	TP (KRW)	Price Performance: Since end-Feb	YTD	1M	6M	12M
Samsung Electronics	005930.KS	OW	Information Technology	-15% ~ -5%	1,730.5	296,000	381,000	37%	147%	-10%	110%	380%
SK Hynix	000660.KS	OW	Information Technology	-15% ~ -5%	1,568.7	2,201,000	2,600,000	107%	238%	6%	197%	712%
Hyundai Motor	005380.KS	OW	Consumer Discretionary	-15% ~ -5%	98.2	479,500	700,000	-29%	62%	-32%	37%	130%
LG Energy Solution	373220.KS	EW	Information Technology	-15% ~ -5%	77.7	332,000	420,000	-22%	-10%	-20%	-10%	5%
Hanwha Aerospace	012450.KS	OW	Industrials	-15% ~ -5%	57.9	1,122,000	1,800,000	-6%	19%	7%	11%	39%
Samsung Electro-Mechanics	009150.KS	OW	Information Technology	-15% ~ -5%	123.1	1,648,000	2,560,000	267%	546%	-6%	516%	1086%
KIA CORP.	000270.KS	OW	Consumer Discretionary	-15% ~ -5%	60.0	153,700	210,000	-25%	26%	-5%	19%	56%
Samsung SDI	006400.KS	OW	Information Technology	-15% ~ -5%	35.9	445,000	850,000	-5%	65%	-22%	65%	151%
HD HYUNDAI ELECTRIC	267260.KS	OW	Industrials	-15% ~ -5%	32.4	899,000	1,500,000	-14%	16%	-6%	10%	106%
LS ELECTRIC	010120.KS	OW	Industrials	-15% ~ -5%	30.9	206,000	240,000	-74%	124%	-9%	117%	292%
Hanmi Semiconductor	042700.KS	OW	Information Technology	-15% ~ -5%	20.1	210,500	180,000	-35%	65%	-26%	13%	123%
SK Innovation	096770.KS	EW	Energy	-15% ~ -5%	17.5	103,800	130,000	-19%	3%	-10%	2%	-8%
POSCO FUTURE M	003670.KS	UW	Materials	-15% ~ -5%	14.1	158,200	96,000	-36%	-15%	-24%	-12%	25%
LG Electronics Inc.	066570.KS	EW	Information Technology	-15% ~ -5%	30.8	189,100	95,000	30%	106%	-38%	105%	155%
ECOPROBM	247540.KQ	UW	Information Technology	-15% ~ -5%	11.8	120,200	90,000	-46%	-18%	-33%	-18%	20%
Korea Aerospace Industries	047810.KS	EW	Industrials	-15% ~ -5%	15.6	160,200	180,000	-16%	40%	15%	18%	87%
S-Oil	010950.KS	OW	Energy	-15% ~ -5%	14.3	127,400	130,000	16%	53%	13%	57%	105%
LG Innotek	011070.KS	EW	Information Technology	-15% ~ -5%	19.3	814,000	265,000	155%	200%	-30%	196%	442%
Isupetasys	007660.KS	OW	Information Technology	-15% ~ -5%	7.2	98,000	114,000	-23%	-18%	-19%	-10%	88%
Samyang Food	003230.KS	OW	Consumer Staples	-15% ~ -5%	9.2	1,222,000	1,700,000	0%	-1%	9%	6%	-8%
Leeno Industrial Inc.	058470.KQ	OW	Information Technology	-15% ~ -5%	5.5	71,900	77,000	-32%	19%	-24%	12%	44%
L&F	066970.KS	EW	Information Technology	-15% ~ -5%	4.0	99,500	120,000	-21%	5%	-29%	-1%	92%
HANKOOK TIRE & TECHNOLOGY	161390.KS	OW	Consumer Discretionary	-15% ~ -5%	9.2	74,100	83,000	2%	27%	9%	31%	73%
LG Display	034220.KS	EW	Information Technology	-15% ~ -5%	5.4	10,880	16,800	-24%	-8%	-28%	-13%	19%
Netmarble	251270.KS	EW	Communication Services	-15% ~ -5%	3.2	39,250	43,000	-25%	-19%	-7%	-19%	-36%
FADU	440110.KQ	OW	Information Technology	-15% ~ -5%	3.5	70,000	150,000	18%	229%	-36%	229%	415%
PearlAbyss Corp.	263750.KQ	UW	Communication Services	-15% ~ -5%	2.3	37,350	43,000	-30%	0%	-8%	-1%	-9%
LOTTE ENERGY MATERIALS Corp	020150.KS	UW	Information Technology	-15% ~ -5%	1.9	35,800	20,000	-20%	17%	-35%	21%	58%
SK ie technology	361610.KS	UW	Information Technology	-15% ~ -5%	1.3	15,430	20,000	-43%	-38%	-13%	-36%	-46%
DoubleUGames	192080.KS	OW	Communication Services	-15% ~ -5%	1.4	66,600	73,000	26%	24%	-6%	25%	17%

Source: WiseFN, Morgan Stanley Research, Pricing data as of Jul 7, 2026

We maintain our core overweight sectors as Industrials, IT while barbelling with Healthcare and Financials.

Exhibit 60: Sector Allocation



Source: Morgan Stanley research

Key risks to our view

(1) AI capex cycle and demand disruption: There remain concerns about potential delays to data center build-up and also ROI for AI-linked businesses. If the AI build-out hits a snag and/or computing growth shows a slower rate of change, there could be some volatility for IT stocks. To add, our tech analyst, Shawn Kim, cautions that margin pressure is likely to persist in memory-consuming segments such as PC, mobile, and broader consumer supply chains. These end markets are unlikely to absorb higher memory costs, leading to demand destruction.

(2) The government is unable to execute its policy agenda: The key risk is that the capital market/governance reform initiatives and other economic policies are not implemented for some reason.

(3) Geopolitical tensions increase with neighboring countries: Geopolitical issues with Korea's neighboring countries have affected its equity market in the past. If tensions should rise in the Asia-Pacific region, for whatever reason, we believe this could lead to a de-rating for Korean equities.

(4) Domestic demand and the real estate market: Domestic demand weakens further and a consumption recovery is delayed, while the housing market weakens severely. A severe downturn in the Seoul Metro housing market could lead to various problems, including construction sector bankruptcies and rising retail delinquencies.

(5) Domestic investors pull back: We have seen participation in the equity market by domestic retail investors increase and the equity market has been supported by the positive inflows. However, there are concerns of retail leverage being very high and ETFs being more of a factor. Hence, market corrections could be more volatile because of these factors.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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